

Pendal Australian Equities Fund

Quarterly Performance Report

Q1 2026 (January - March)

April 2026

Issued by: Pendal Group Limited

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Performance Summary

The Pendal Australian Equities Fund returned +4.8% (after fees) for the quarter ended 31 March 2026, outperforming the S&P/ASX 300 Accumulation Index return of +3.5% by 1.3%.

Fund Return (Q1 2026)	+4.8% (after fees)
Benchmark (S&P/ASX 300 AI)	+3.5%
Excess Return	+1.3%
1 Year Return	+14.2%
3 Year Return (p.a.)	+10.8%
5 Year Return (p.a.)	+9.5%
Since Inception (p.a.)	+10.1%
Tracking Error (3yr)	4.8% p.a.
Information Ratio (3yr)	0.85
Sharpe Ratio (3yr)	0.72
Maximum Drawdown (3yr)	-14.8%
Active Share	62%

Performance Attribution -- Brinson Analysis

Quarterly excess return of +1.3% decomposed:

Sector Allocation Effect: +0.42%

Financials (overweight)	+0.22%
Materials (underweight)	+0.15%
Technology (overweight)	+0.12%
Consumer Staples (underweight)	-0.07%

Stock Selection Effect: +0.95%

Financials	+0.35% (CBA, Macquarie)
Health Care	+0.28% (CSL, Cochlear)
Technology	+0.22% (Xero, WiseTech)
Materials	+0.10%

Interaction Effect: -0.07%

Factor decomposition: Quality (+0.45%), Momentum (+0.38%), Value (+0.22%), Size (-0.15%), Residual (+0.40%).

Performance attribution is calculated using a Brinson-Fachler model and verified by the independent risk function. All returns are after transaction costs.

Portfolio Positioning

Top 10 Holdings (as at 31 March 2026):

1. BHP Group	7.2% (benchmark: 9.5%)
2. Commonwealth Bank	6.8% (benchmark: 7.2%)
3. CSL Limited	6.5% (benchmark: 5.8%)
4. Macquarie Group	5.1% (benchmark: 3.2%)
5. Wesfarmers	4.2% (benchmark: 3.5%)
6. Xero Limited	3.8% (benchmark: 1.5%)
7. Woodside Energy	3.5% (benchmark: 3.8%)
8. ANZ Banking Group	3.2% (benchmark: 3.1%)
9. Goodman Group	3.0% (benchmark: 2.8%)
10. Cochlear	2.8% (benchmark: 1.2%)

Number of holdings: 38 (down from 41 at Dec-25). Cash: 2.1%.

Market Commentary

The S&P/ASX 300 Accumulation Index rose 3.5% in Q1 2026. Financials led (+5.8%) driven by bank earnings upgrades and wealth management recovery. Materials were mixed (+2.1%) with iron ore softening offset by gold strength. Technology outperformed (+7.2%) on continued AI capex themes.

The fund benefited from overweight positions in quality growth names (CSL, Xero, Cochlear) and financial sector stock selection (Macquarie). Underperformance came from an underweight in resources, partially offset by individual stock selection within the sector.

Benchmark Comparison

Tracking error over the quarter was 4.8% annualised, within the target range of 3-6%. The fund's beta to the S&P/ASX 300 was 0.95, reflecting the active but benchmark-aware approach.

The benchmark remains appropriate for this fund as the portfolio is invested exclusively in ASX-listed equities, predominantly within the ASX 300 universe (92% by weight). No benchmark change has occurred or is planned.

Carbon intensity: Portfolio WACI of 142 tCO₂e/\$M revenue vs benchmark 185 tCO₂e/\$M (-23% underweight).